Fluctuating Fortunes of the Telecom Business in India

The cellular telecom business in India was born in failure in 1995 when fourteen companies bid for mobile service licences and quoted atrociously high fixed licence fee (spectrum came bundled with licence). The market was not known and it required large investment to put in place the infrastructure for providing mobile telecom services. In those days, a call on a cellular phone cost over Rs 16 per minute. The annual fixed licence fee was calculated at the auction-determined fixed licence fee or at Rs 6000 per subscriber, whichever was higher. Almost all companies defaulted on the payment of the licence fee.

The 1995 auction proved to be a winner's curse and brought the industry to its knees. There was a real danger of licensees downing their shutters fully and India missing the mobile revolution. The government took a courageous decision in 1999 and allowed telecom companies to migrate from a fixed licence fee regime to one based on revenue share.

This decision transformed the fortunes of the industry. Falling technology prices and India's fascination for mobile telephony contributed further. The cost per subscriber declined massively as the subscriber base grew by leaps and bounds. By 2001–02, telecom companies had started reporting profits. This made telecom licences very valuable and the share prices of companies galloped. Some telecom licensees could sell their stakes, raking in billions of dollars in profit. The overwhelming profits made by some operators gave birth to scandals and scams. The industry, however, got disrupted when the Supreme Court cancelled 122 2G licences in 2012, making several companies (including a number of foreign investors) lose billions of dollars paid in licence fees and investments made in establishing networks.

The prices of voice calls had started drifting lower from 1999 itself. The price of a voice call dropped from Rs 16 a minute in 1995 to Rs 3 a minute in 2004 and Rs 0.47 a minute in 2012 to virtually zero by 2016–17. The